

Infrastructure: Making inroads in the wealth channel

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Preview

Bridges, roads and airports are often what comes first when we think of as forms of infrastructure; however, infrastructure represents a varied and vast set of systems that connect and propel a society. They include such diverse areas as cell towers, fiber-optic cables and water treatment facilities.

As Mark Zuckerberg recently noted:

In this paper, we will examine investing in infrastructure and cover the following:

What is infrastructure?

How can we categorize infrastructure?

Why is now a good time to invest?

What lessons can be learned from institutions?

What role does infrastructure play in client portfolios?

In our view, infrastructure represents a compelling investment option due to its unique characteristics, the prevailing market environment, and the versatile role these types of assets can play in client portfolios. We believe that the macro themes identified above should play out over the next several years. Fortunately, we are beginning to see more products coming to the wealth channel.

WHAT ARE THE RISKS?

All investments involve risks, including the possible loss of principal.

Equity securities are subject to price fluctuation and possible loss of principal.

International investments are subject to special risks, including currency fluctuations and social, economic and political uncertainties, which could increase volatility. These risks are magnified in emerging markets. Investments in companies in a specific country or region may experience greater volatility than those that are more broadly diversified geographically.

Companies in the infrastructure industry may be subject to a variety of factors, including high interest costs, high degrees of leverage, effects of economic slowdowns, increased competition, and impact resulting from government and regulatory policies and practices.

Small- and mid-cap stocks involve greater risks and volatility than large-cap stocks.

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